

Businesses Reject 46% Electricity Hike

Botswana's business community has rejected a proposed 46% electricity tariff hike by BPC, warning it could stifle growth, cost jobs, threaten economic recovery, and urged a phased, predictable approach

GAZETTE REPORTER

Botswana's business sector has strongly opposed a proposed 46 percent electricity tariff increase by Botswana Power Corporation (BPC), warning it could cripple private-sector growth, destroy jobs, and slow the country's economic recovery.

Through their umbrella body, Business Botswana, companies voiced their objections during a public hearing convened by the Botswana Energy Regulatory Authority (BERA), which is reviewing BPC's proposed tariff adjustment for the 2026/27 financial year.

Presenting the organisation's position, Head of Policy and Research Mpaphi Tsholofelo said while cost-reflective tariffs are important to sustain reliable electricity supply, the magnitude of the proposed increase is "unreasonable and unaffordable."

"The proposed 46 percent increase has the potential to negatively impact businesses and the broader economy," Tsholofelo said, citing detailed cost analysis, member consultations, and a nationwide survey as the basis for their objections.

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PROPOSAL FOR PHASED INCREASES

Instead of a steep once-off hike, Business Botswana recommended a moderated, multi-year adjustment framework starting with a single-digit increase in the first year. This, they argued, would allow businesses to gradually absorb higher costs while minimising economic disruption.

The hearing attracted a wide range of stakeholders, including mining firms, business associations, and consumer groups such as Flotek, the Tuli Block Association, BEMA, Khoemacau, Jindal, and Consumer Watchdog, highlighting the far-reaching impact of electricity pricing on the economy.

COMPOUNDING FINANCIAL PRESSURE

Business Botswana noted that the proposed hike follows a 24 percent tariff increase implemented in July 2025, adding further financial pressure on businesses and households.

It warned that escalating electricity costs would significantly increase operating expenses across sectors, reduce productivity, discourage investment, and threaten employment—particularly among small, medium, and informal enterprises.

CALLS FOR SUSTAINABLE ENERGY POLICY

"A vibrant, competitive and enabling business environment is critical to economic transformation, job creation, and

fiscal sustainability," the organisation said, stressing that affordable and predictable electricity pricing is essential for investment and expansion.

Business Botswana further cautioned against using tariff increases to offset inefficiencies within the electricity supply industry, arguing that transferring such costs to consumers would weaken competitiveness and undermine Botswana's productive capacity.

RECOMMENDATIONS FOR REFORM

To balance economic stability with power sector sustainability, Business Botswana recommended: A phased tariff adjustment with a predictable multi-year framework, linking tariff decisions to measurable im-

provements in efficiency, governance, and cost containment, introduction of differentiated tariffs to protect vulnerable and productive sectors such as manufacturing, agriculture, healthcare, tourism, and small enterprises, and accelerating energy sector reforms, promoting renewable energy, and increasing private-sector participation to improve affordability and long-term competitiveness.

Business Botswana said it remains committed to working with government, regulators, and stakeholders to build a sustainable and resilient energy sector but stressed that electricity pricing decisions must support economic growth, protect jobs, and advance national development goals.



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